SEVEN DEADLY TRADING SINS TO OVERCOME

The Chart Guys

Trading is as much about mastering self as it is about mastering market dynamics and risk management. If we are undisciplined in our personal lives, we are likely to be undisciplined at the trading desk as well. Unsurprisingly, the cardinal sins of life parallel common trading mistakes. With more awareness of potential shortcomings, we are more likely to develop behavioral changes.

1. Lust

Traders who lust for the sexiest shiny object will often find themselves one step behind as assets with a lot of excitement surrounding them suggests that attention has already gained substantially over time. How else could there be hype? The more fervor there is for an asset, the more demand there will be for it. The more demand there is for an asset, the more collective incentive there is to continue to increase demand. This creates the potential for an "unnatural" amount of demand, drawing in capital from parties who would have been otherwise uninterested if not for the speculative potential for gains. The allure of these names lies in their meteoric rises however traders late to the game and unwilling to accept loss will be left holding the bag.

To deter lust, traders must focus on what is relevant to them. In order to do so, a trader must be cognizant of their overall goals and strategy so that they might stay on course. Each trader should have a clear goal such as retirement planning, active investing, short-term swinging, intraday trading for regular income, etc. With a clear goal in mind, it's easier to determine the most appropriate strategies and tactics without being led astray.

2. Gluttony

Gluttony in trading often manifests in behavior that skews too heavily towards one direction. Of course it's valuable to lean into one's strengths however we must be mindful not to be blinded by them. A trader might trade too heavily to the long side and be ill-prepared for downturns or perhaps after becoming proud of their improvements in execution, may falter from the analysis component that was also critical for the trader's success. Putting our eggs into one basket creates more potential blindspots that are likely to act as headwinds for progress.

It's best to approach markets with consideration of balance. Just like a healthy portfolio should be composed of a diverse array of assets, so should a trader's operations be robust and flexible. When placing trades, consider the perspective of the trader taking the other side. Before initiating a position, consider whether it serves your overall goal or whether it's simply something you're comfortable with doing.

3. Greed

Greed is of course rampant in the markets. Every operator has some semblance of it bouncing around in their mind otherwise they wouldn't be in the markets. Such a prevalent sentiment must be managed appropriately otherwise traders will be destined to make the common mistakes of coming into trades too early with too much size and watching paper profits become erased if not worse. A common saying in trading is that one need not nail tops and bottoms; the meat in the middle is more than enough.

Greed is often inspired by impatience. As with any great challenge, great time and effort must be applied before achieving mastery. Understanding and accepting that it will likely take years to become a successful trader takes the pressure off of having to "get it all" immediately. When it comes to each trade, set entry and exit targets before putting any trade on and accept that they will almost never be the absolute bottom or top.

4. Sloth

Traders who are prone to sloth put themselves at a great disadvantage in the marketplace since it is constantly evolving at every moment. Trading demands being updated on the current circumstances surrounding any asset of interest. Like competitive sports, those who are unwilling or incapable of adapting to changing conditions and staying on top of a regular routine to maximize their performance are likely to be left behind. In trading this can translate into lack of preparation which leads to poor understanding of the current market environment which then may lead to trying trades that are no longer suitable.

In order to compete in the market, one must be prepared. A routine to normalize the preparation will go a long way especially when maintained over an extended period of time. There's a saying in fitness that the best routine is the one you stick to, so it's best to start with small adjustments and build upon them incrementally rather than attempting to make large changes rapidly. It can also be helpful to review one's performance in order to stay honest about the amount of effort being placed into staying ahead of the herd.

5. Wrath

Traders who manifest wrath often do so in the form of revenge trading, going bigger in size on a trade that has already failed them, making a small mistake into a larger, potentially catastrophic, one. The resulting damage is not only financial, the trader is likely to cause psychological trauma as well and may be prone to wrath even after exiting the market, admonishing themselves for making the mistakes despite having known better. Of course knowing does not equate to applying.

Trading is a game of probabilities and so losses are inevitable. If traders find themselves regularly feeling negativity towards the market, they are likely trading with too much size. Simply reducing the size of trades will alleviate much of the pressure felt from losses incurred which then makes it more likely for the trader to learn from mistakes. Visualization can be a very helpful tool when combating wrathful trading. Take some time outside of market hours, like training during the off-season, to visualize arriving at and accepting max loss and responding in a calm and collected manner. We are unlikely to be successful in a change during the heat of the moment, practicing it before the big show increases the odds of engaging in the right behavior when it really counts.

6. Envy

Comparing one's performance to that of another, or the market, can easily lead to the development of expectations that we should be this or that by now. This can lead to irresponsible trading in an attempt to "catch up" which is likely to result in account damage. Additionally, the effects of envy may not be seen through a trader's equity curve. Traders who compare their own performance to that of others are setting themselves up for consistent disappointment as there is always a bigger fish in the sea.

The only trade that matters is your own. No two traders have the same goals, experience, risk tolerance, knowledge, etc. Keep track of your personal accomplishments and celebrate when you achieve something you set out to tackle. Practicing gratitude is emphasized by multiple trading coaches and psychologists as a way of helping a trader adopt a positive growth mindset necessary to advance in the markets. This can be done through journaling, mantras, visualization, etc.

7. Pride

Traders influenced by pride find it difficult to accept being wrong, often allowing confirmation bias to run rampant, which can lead to disrespecting stop losses or not setting them in the first place; adding to losers; and worst of all, an inability to accept that there is any need for personal change. The latter symptom is the most egregious as the markets demand that traders constantly learn and adapt. A trader that refuses to practice humility will likely be humbled by the market repeatedly for as long as they can remain solvent.

Construct trade plans that are based entirely on market generated information which cannot be argued in order to practice objective reasoning in your analysis. A trader with just one idea is a dangerous thing, come up with multiple ideas and let the market affirm or negate the potentialities that you have considered as price action develops rather than assuming certainty in one probability.

Like trading, it's difficult to evaluate ourselves honestly and objectively. Making observations tangible through video recordings or writings are good exercises for self-evaluation. If you continue to find yourself struggling with some or all of the trading sins, or are simply looking for some other traders to bounce ideas off of, consider joining a community whose members can help hold you accountable and increase your odds of continual progress.